

Management and Marketing

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Marketingmanagement

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Topic 4: Conducting Marketing Research

Chapter 4

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Introduction:
Sara Palcso

PhD Student,

*brand strategist,
comm. expert, business
development advisor,
marketing & trade
marketing expert,
teacher*

Unilever: Brand and Category Manager, Trade Marketing Manager

- Dove, Baba, Signal, Sunsilk etc. - local and regional positions



Zwack Unicum Nyrt.: Marketing & Communications & Trade marketing Director

- Leading back local brand Unicum, showing market share decline, on the growing trend.
- Repositioning local brands (Kalinka Fütyülős etc)
- Marketing activities of global brands (Johnnie Walker, Baileys, Tanqueray)
- Innovations (Kalumba Gin, Lanchid brandy),
- Communication development off and online
- Listed multiple times among the top 50 marketers of Hungary



Altagrand Zrt.: Consultant, Mentor

- Visiting lecturer at OBE and METU
- Startup mentor
- Consultant (Spirits, Edtech, Cosmetics)

Adrienne Feller Cosmetics Zrt - CEO

PHD at BME



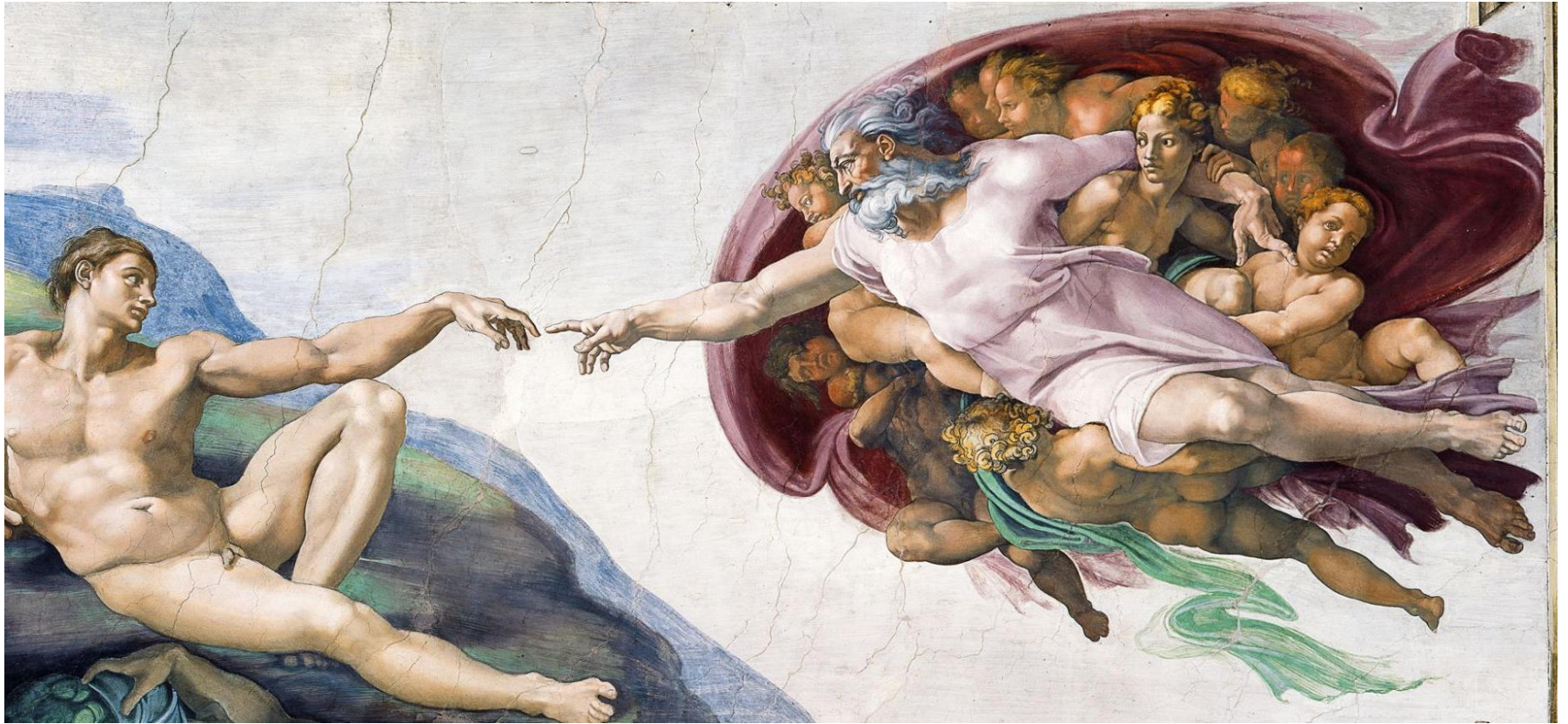
Topic 4

Learning Objectives

1. What is the role of marketing research?
2. What is the scope of marketing research?
3. What steps are involved in conducting good marketing research?

Success Ln

Failure Dr



The divine spark?

90% of Startups Fail



- 9 out of 10 startups fail
- 38% of startups fail because they run out of cash
- 35% of startups fail because there is no market need for them
- By year 5, 50% of all startups will have failed
- 81% of startup owners are okay going into debt for their business
- Less than 5% of innovations work in FMCG

What is the problem?





How do we work against FAILURE?

- Process?
- Tools?
- Team?
- Hard work?
- INFORMATION!

Modern Marketing Information System (MIS)

COMPONENTS

- ✓ Internal company records
- ✓ Marketing intelligence activities
 - ✓ **Marketing research**

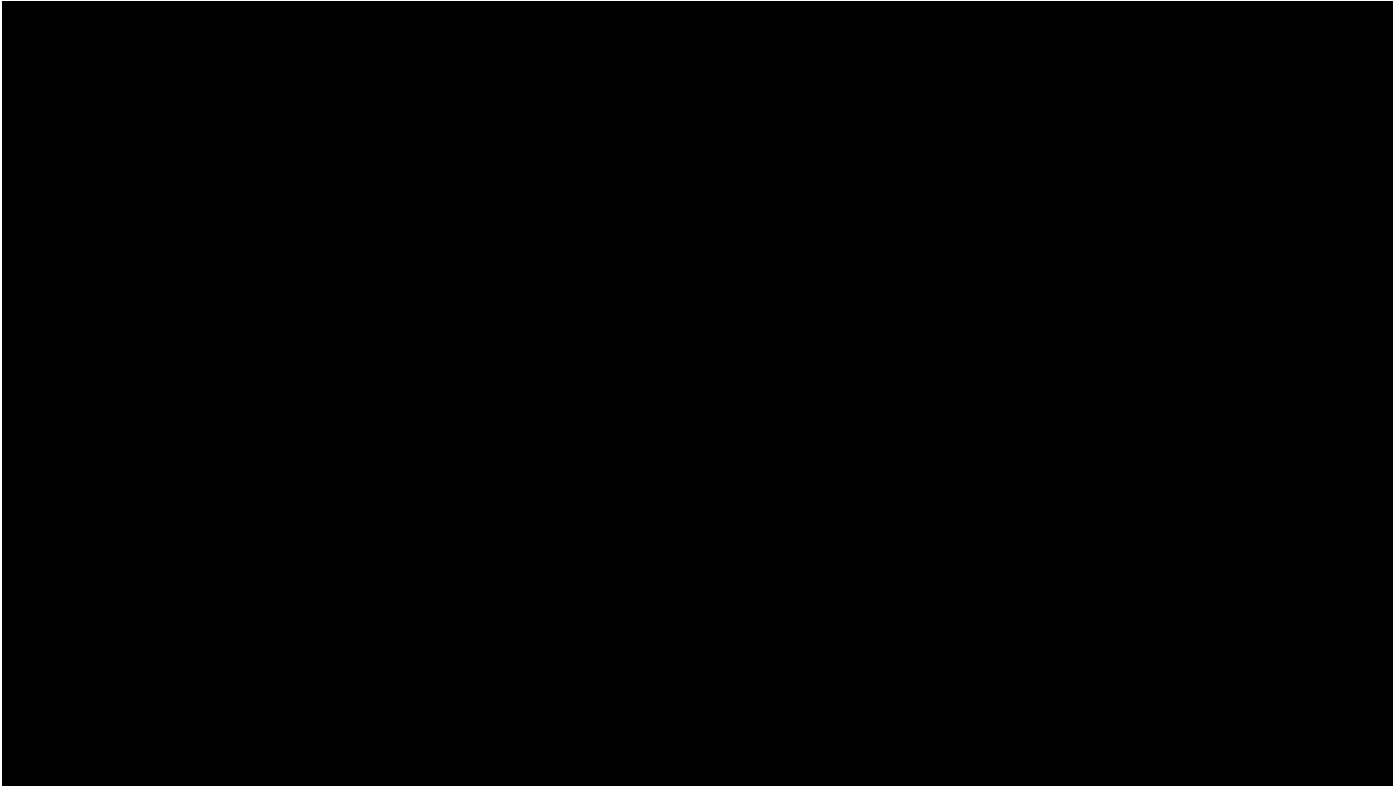
American Marketing Association:

Marketing research is the function that links the consumer, customer, and public to the marketer through information—information used to identify and define marketing opportunities and problems; generate, refine, and evaluate marketing actions; monitor marketing performance; and improve understanding of marketing as a process.

The definition of marketing research

The Scope of marketing research

Importance of **marketing insights**

- **Generating insights (how and why we observe certain effects in the marketplace)**
- 

Who Does Marketing Research?

- ✓ Marketing departments in big firms
- ✓ Everyone at small firms
- ✓ Syndicated-service research firms
- ✓ Custom marketing research firms
- ✓ Specialty-line marketing research firms

Overcoming Barriers to the Use of Marketing Research

- Many companies still fail to use it sufficiently or correctly



Define the problem
and research objectives



Develop the
research plan



Collect the
information



Analyze the
information



Present the
findings



Make the
decision

Marketing Department

The Marketing Research Process

Market Research
Department and/or
Research Firm

Company Executives

**Define the problem
and research objectives**



Step 1

- Define the **problem**
- Define the **decision alternatives**
- Define the **research objectives**

Define the problem	Will offering ultra high-speed Wi-Fi service create enough incremental preference and profit to justify its cost against other service enhancements Amerian Airlines might take?
Define the decision alternatives	(1) Should America Airlines offer ultra high-speed Wi-Fi service? (2) If so, should it offer it to first-class only or include business class and possibly economy class? (3) What price(s) should be charged? (4) On what type of planes and length of trips should the service be offered?
Define research questions	What types of first-class passengers would respond most to ultra high-speed Wi-Fi service? How many are likely to use it at different price levels? How many might choose American Airlines because of this new service? ...



Data sources:

Secondary data vs. **primary data**



Collected for an
other purpose

Already exist
somewhere

Freshly
gathered for a
specific purpose
or project

Research approaches:

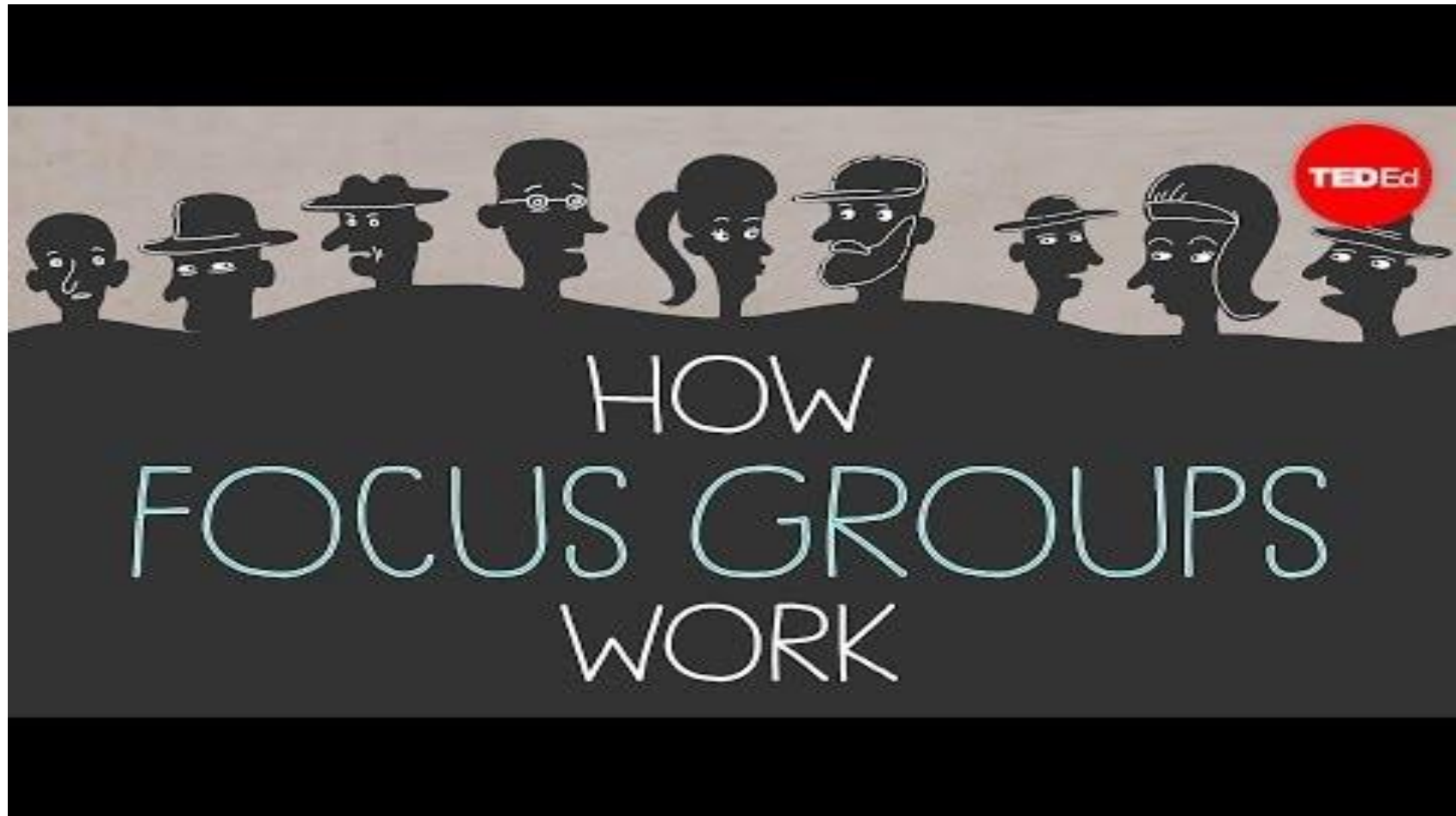
- ✓ **Observational research**
- ✓ **Focus group research**
- ✓ **Survey research**
- ✓ **Behavioral research (trace analysis)**

Observation:

Example of An Ethnographic Case Study of Ikea Shoppers



Focus group research



Research instruments:

Questionnaires

Qualitative measures

**Technological devices (skin
sensors, audiometers, etc.)**

Questionnaire

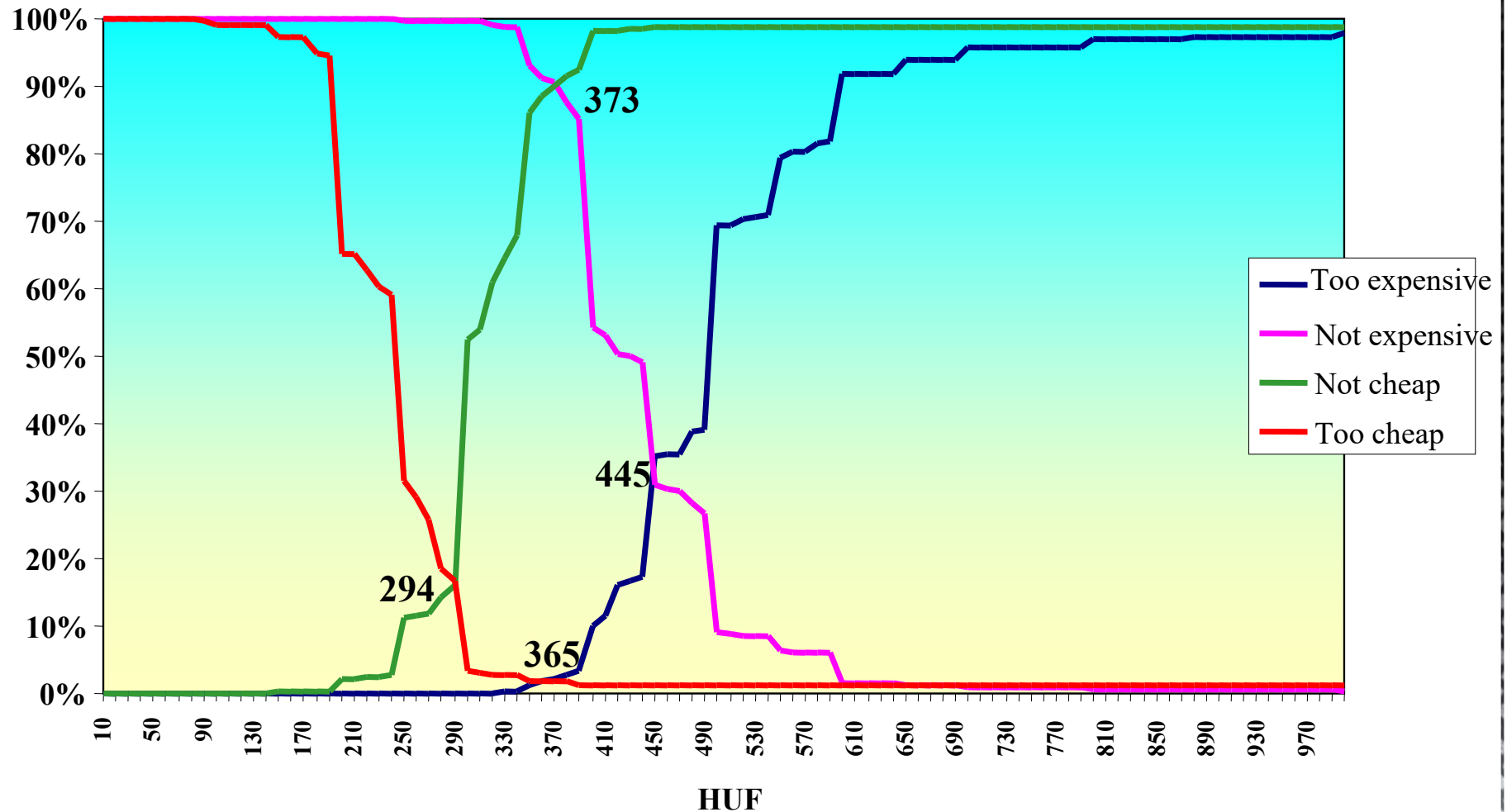
TABLE 4.1

Types of Questions

Name	Description	Example
A. Closed-End Questions		
Dichotomous	A question with two possible answers	In arranging this trip, did you personally phone American? Yes _____ No _____
Multiple choice	A question with three or more answers	With whom are you traveling on this flight? ☐ No one ☐ Children only ☐ Spouse ☐ Business associates/friends/relatives ☐ Spouse and children ☐ An organized tour group
Likert scale	A statement with which the respondent shows the amount of agreement/disagreement	Small airlines generally give better service than large ones. Strongly disagree Disagree Neither agree nor disagree Agree Strongly agree 1 _____ 2 _____ 3 _____ 4 _____ 5 _____
Semantic differential	A scale connecting two bipolar words. The respondent selects the point that represents his or her opinion.	I find American Airlines ... Large _____ Small Experienced _____ Inexperienced Modern _____ Old-fashioned
Importance scale	A scale that rates the importance of some attribute	Airline in-flight service to me is Extremely important Very important Somewhat important Not very important Not at all important 1 _____ 2 _____ 3 _____ 4 _____ 5 _____
Rating scale	A scale that rates some attribute from "poor" to "excellent"	American in-flight service is Excellent Very Good Good Fair Poor 1 _____ 2 _____ 3 _____ 4 _____ 5 _____
Intention-to-buy scale	A scale that describes the respondent's intention to buy	If ultra high-speed Wi-Fi service were available on a long flight, I would Definitely buy Probably buy Not sure Probably not buy Definitely not buy 1 _____ 2 _____ 3 _____ 4 _____ 5 _____

Example: Consumer Acceptance Test (CAT) – price acceptance

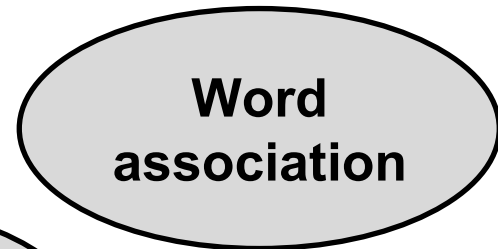
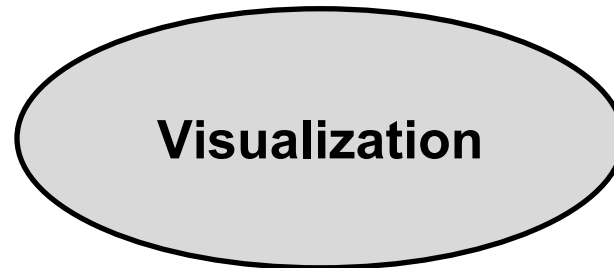
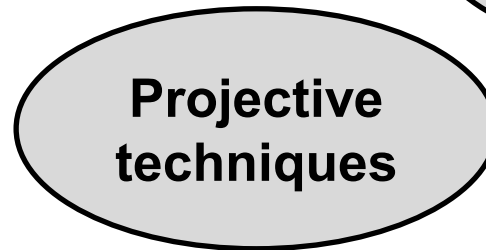
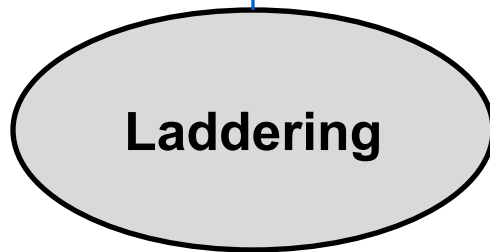
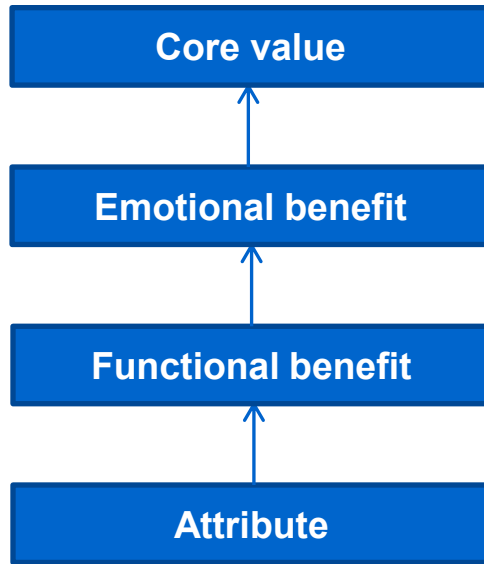
Base: Not sure + Probably or definitely buy



Questionnaire

B. Open-End Questions		
Completely unstructured	A question that respondents can answer in an almost unlimited number of ways	What is your opinion of American Airlines?
Word association	Words are presented, one at a time, and respondents mention the first word that comes to mind.	What is the first word that comes to your mind when you hear the following? Airline_____ American_____ Travel_____
Sentence completion	An incomplete sentence is presented and respondents complete the sentence.	When I choose an airline, the most important consideration in my decision is _____ .
Story completion	An incomplete story is presented, and respondents are asked to complete it.	"I flew American a few days ago. I noticed that the exterior and interior of the plane had very bright colors. This aroused in me the following thoughts and feelings" Now complete the story.
Picture	A picture of two characters is presented, with one making a statement. Respondents are asked to identify with the other and fill in the empty balloon.	
Thematic Apperception Test (TAT)	A picture is presented and respondents are asked to make up a story about what they think is happening or may happen in the picture.	

For example: consumer's motivation behind buying a certain product



„I can help them if they are in trouble”

„my colleagues or family can be sure to reach me”

„it suggests Nokia is reliable”

„they look well built”

Qualitative measures

Sampling plan

Sampling **unit:** Whom should we survey?

Sample **size:** How many people should we survey?

Sampling **procedure:** How should we choose the respondents?

Contact methods:

- ✓ **Mail**
- ✓ **Telephone**
- ✓ **Personal**
- ✓ **Online**

Advantages

- Inexpensive
- Expansive
- Fast
- Honest and Thoughtful
- Versatile

Disadvantages

- Samples can be small and skewed
- Excessive turnover in panels
- Technological problems and inconsistencies

Online Research

Step 3 to Step 5

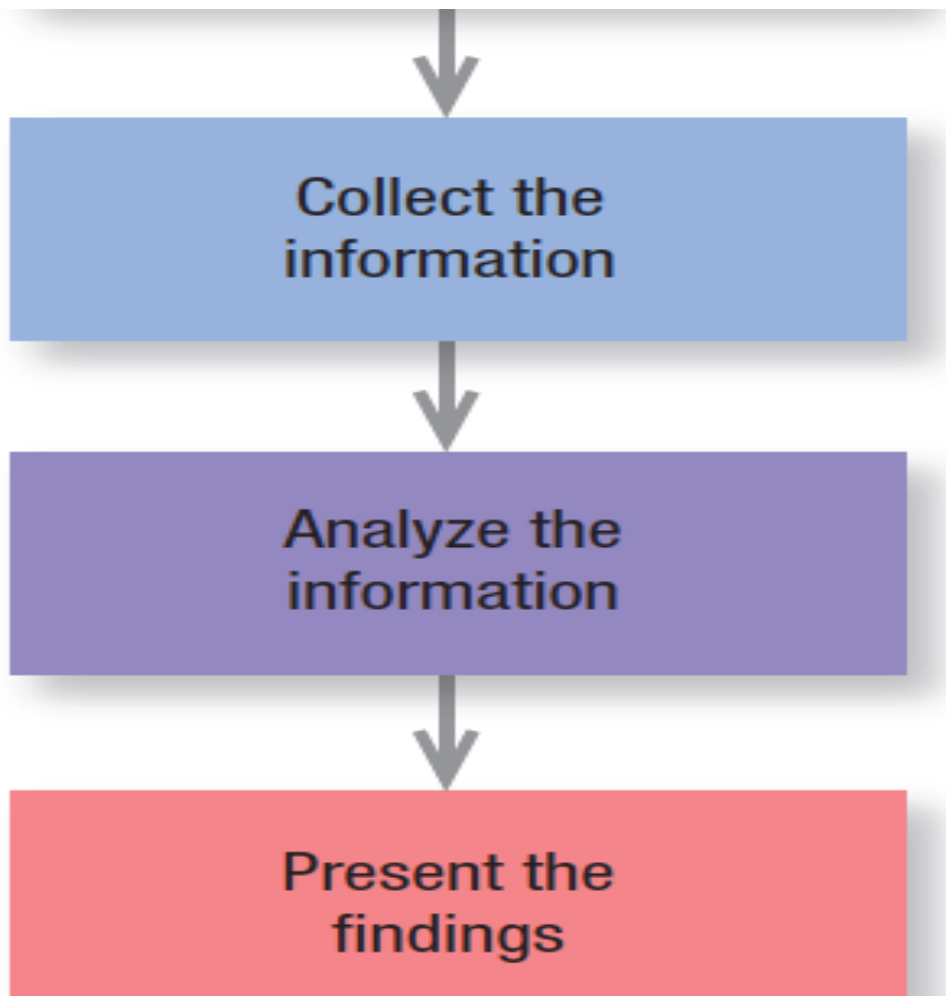
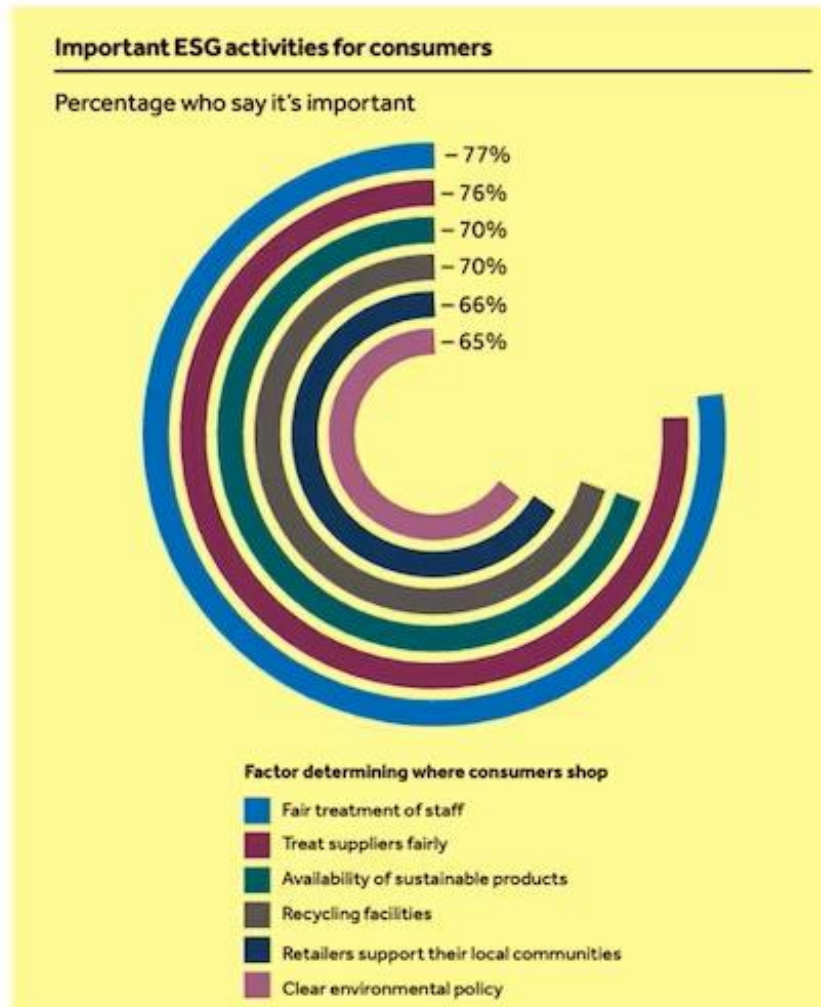


TABLE 4.2

The Seven Characteristics of Good Marketing Research

1. Scientific method	Effective marketing research uses the principles of the scientific method: careful observation, formulation of hypotheses, prediction, and testing.
2. Research creativity	In an award-winning research study to reposition Cheetos snacks, researchers dressed up in a brand mascot Chester Cheetah suit and walked around the streets of San Francisco. The response the character encountered led to the realization that even adults loved the fun and playfulness of Cheetos. The resulting repositioning led to a double-digit sales increase despite a tough business environment. ⁴³
3. Multiple methods	Marketing researchers shy away from overreliance on any one method. They also recognize the value of using two or three methods to increase confidence in the results.
4. Interdependence of models and data	Marketing researchers recognize that data are interpreted from underlying models that guide the type of information sought.
5. Value and cost of information	Marketing researchers show concern for estimating the value of information against its cost. Costs are typically easy to determine, but the value of research is harder to quantify. It depends on the reliability and validity of the findings and management's willingness to accept and act on those findings.
6. Healthy skepticism	Marketing researchers show a healthy skepticism toward glib assumptions made by managers about how a market works. They are alert to the problems caused by "marketing myths."
7. Ethical marketing	Marketing research benefits both the sponsoring company and its customers. The misuse of marketing research can harm or annoy consumers, increasing resentment at what consumers regard as an invasion of their privacy or a disguised sales pitch.

„70% of consumers think sustainability is important in determining where they shop.”



Mark Ritson on
MarketingWeek:

**Badly designed
surveys don't
promote
sustainability,
they harm it**

The article can be found here:

<https://www.marketingweek.com/ritson-badly-designed-surveys/>

„... asks 100,000 people each year to list products they have recently purchased. Then, rather than introducing and measuring drivers for these choices, researchers explore verbatims from each consumer who describes why they bought what they bought. These verbatims are then coded and their frequency measured across the total sample.”

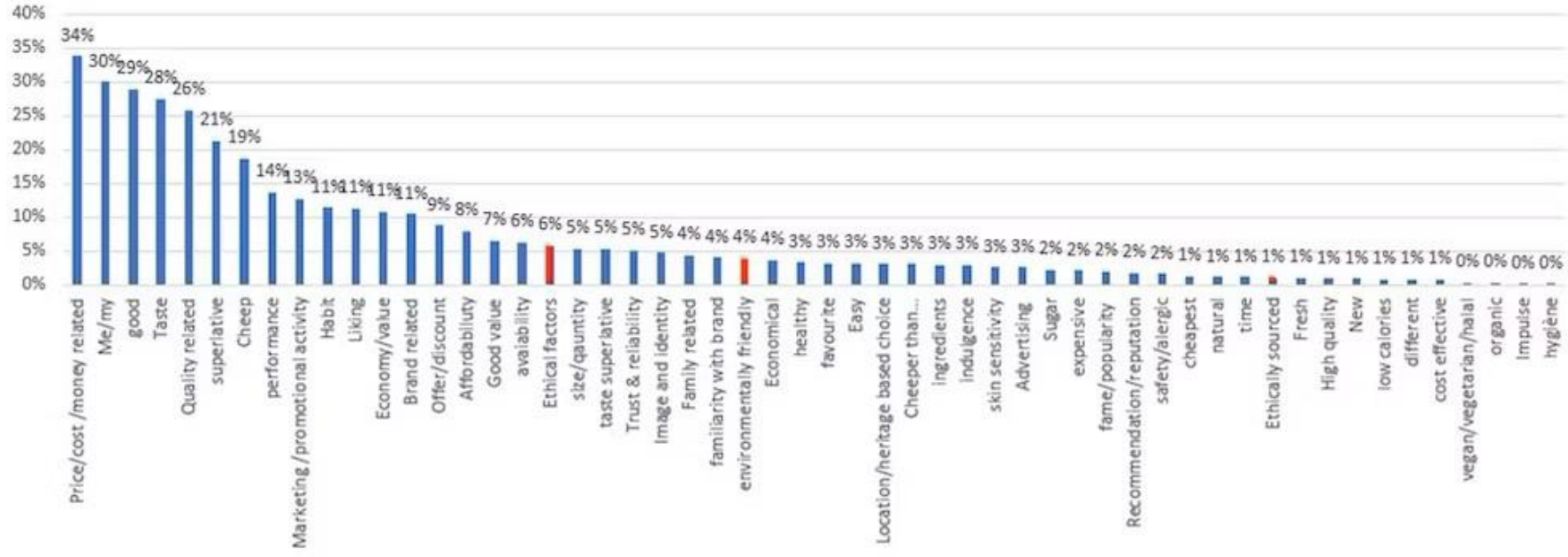


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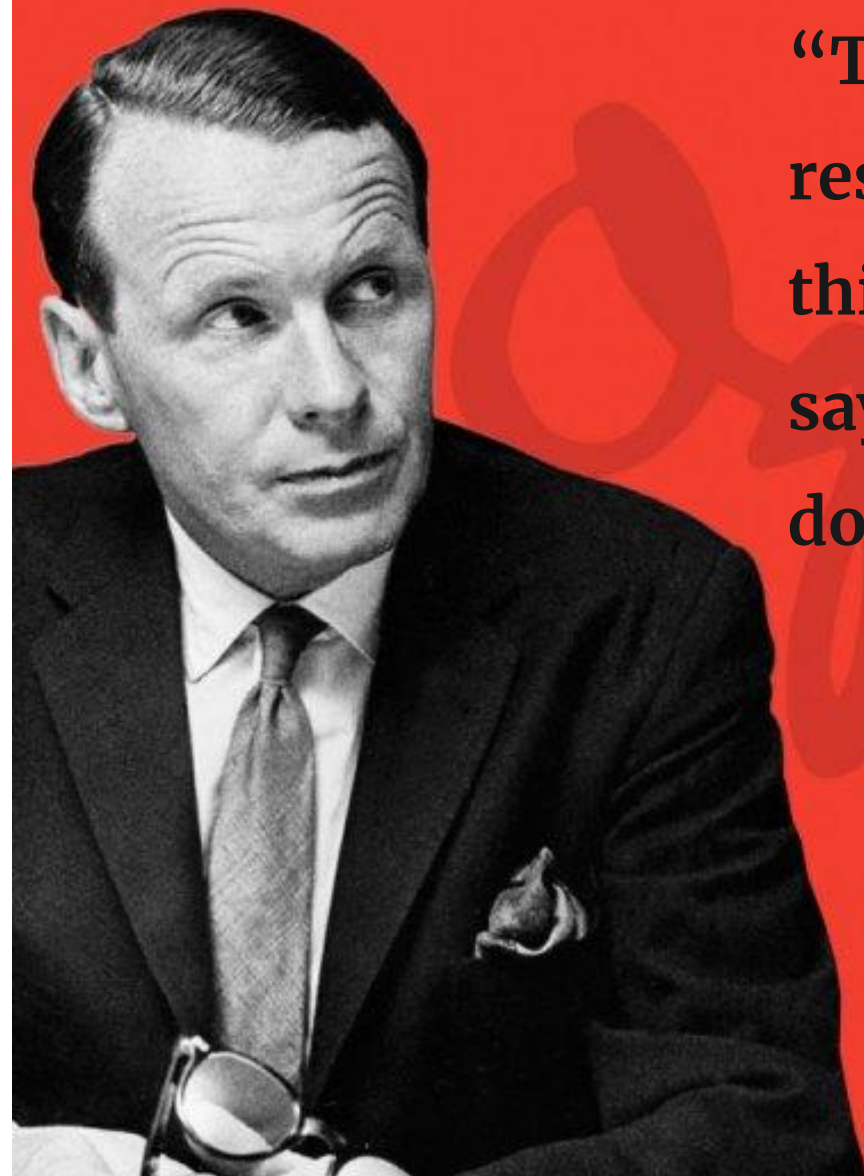




Make the
decision

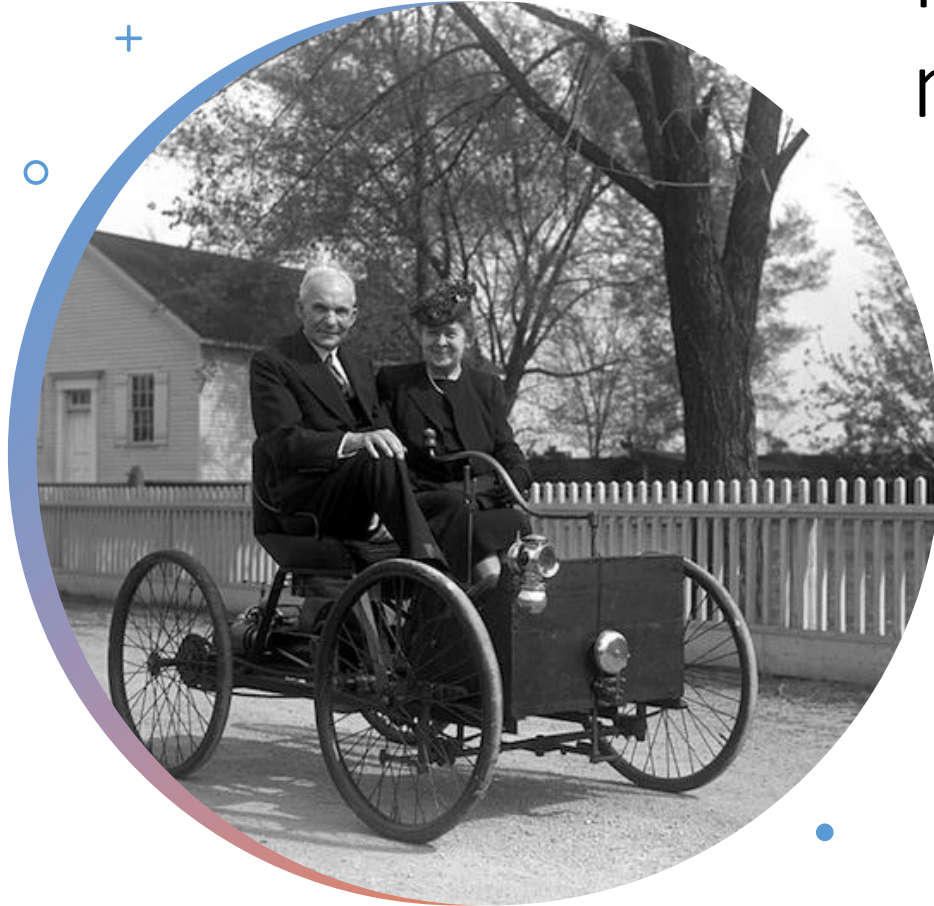
**the art of
decision
making**





“The trouble with market research is that people don't think what they feel, they don't say what they think and they don't do what they say.”

Ford about market research



Henry Ford

“If I had asked people what they wanted, they would have said faster horses.”

<https://hbr.org/2011/08/henry-ford-never-said-the-fast>



• Insight *

*Understanding the real motivation behind the behaviour, thoughts and actions of the consumer.

- When was the last time you participated in a **survey**?
- How helpful do you think the information was, you provided?
- How could the research have been done differently to make it more effective?

Discussion on Survey quality

KEY TAKEAWAYS

- **Marketing research and marketing insights**
- **The step of the marketing research process**
- **Different types of data**
- **The survey and the questionnaire**
- **The characteristics of good marketing research**

**Thank You for Your
Attention!**

